FINANCIAL ANALYSIS OF CORPORATE DEALS

Stanley Black & Decker

A Merger of Equals — Deal Structure, Earnings Impact, and the Value Question

$3.6B	21.6%	$350M
All-stock deal value	Premium to Black & Decker	Targeted annual cost savings

Kishore Kunal | PGDM-BM, MDI Gurgaon

What the Case Is About

In November 2009, two complementary tool makers agreed to combine in an all-stock merger of equals.

The Stanley Works

Hand tools • Founded 1843

New Britain, Connecticut

50.5% ownership

Black & Decker

Power tools • Founded 1910

Towson, Maryland

49.5% ownership

Key Deal Terms

Consideration

All-stock exchange

Price paid

$3.6 billion in Stanley stock

Premium

21.6% to B&D holders

Leadership

Lundgren CEO Archibald Chairman

The Questions the Case Asks

Beneath a clean strategic story, the case sets up three questions a deal reviewer must answer.

01



Is the deal really accretive?

Management leads with “about $5.00 of earnings per share by Year 3.” But the answer flips depending on which earnings measure you accept — reported, adjusted, or cash.

02



Does it create value, or move it?

Black & Decker shareholders collect a 21.6% premium on day one. Do Stanley’s shareholders earn enough of the cost savings to justify paying that premium?

03

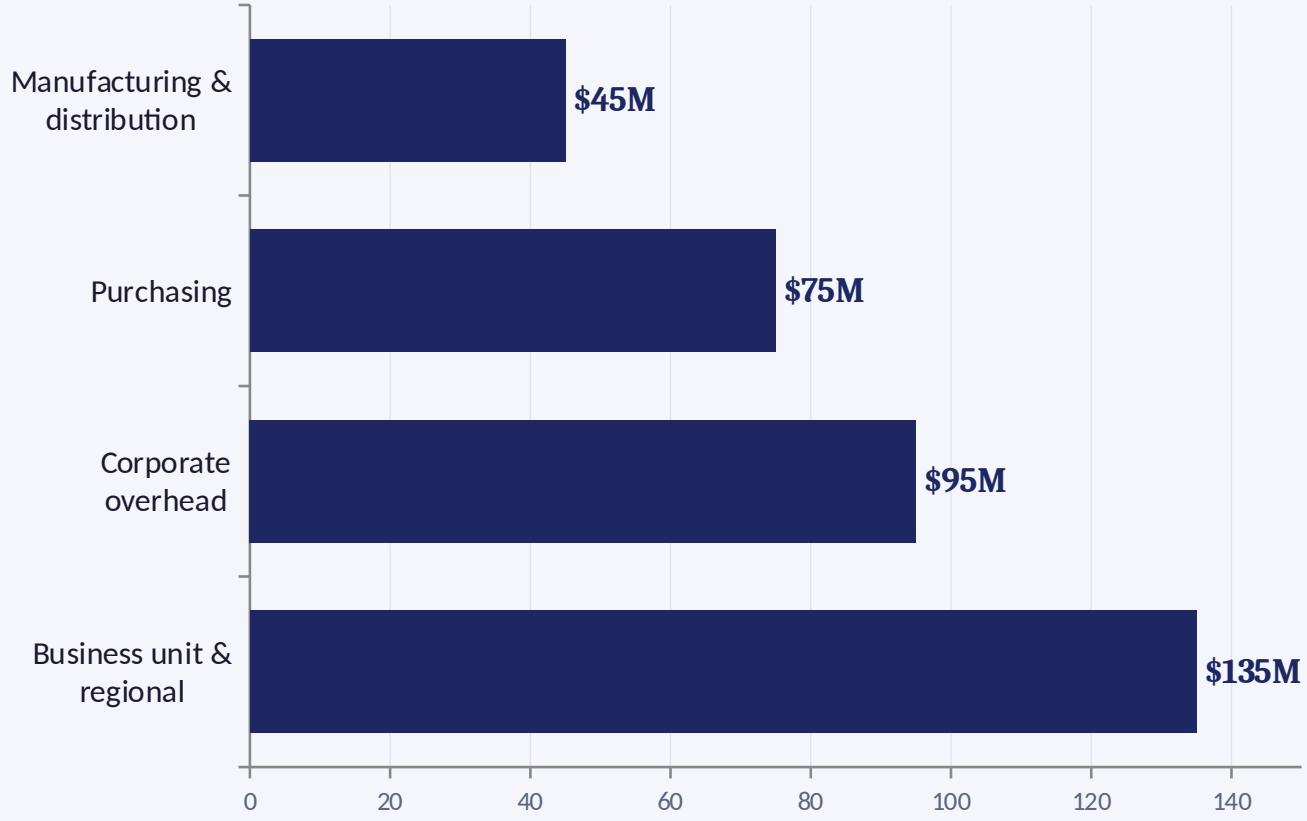


Can the savings target be trusted?

The Black & Decker chairman is paid up to $45 million for delivering exactly the $350 million of savings the whole earnings case depends on.

Where the $350 Million in Savings Comes From

Roughly 4% of combined sales — phased in over three years against a one-time cost of $400 million.



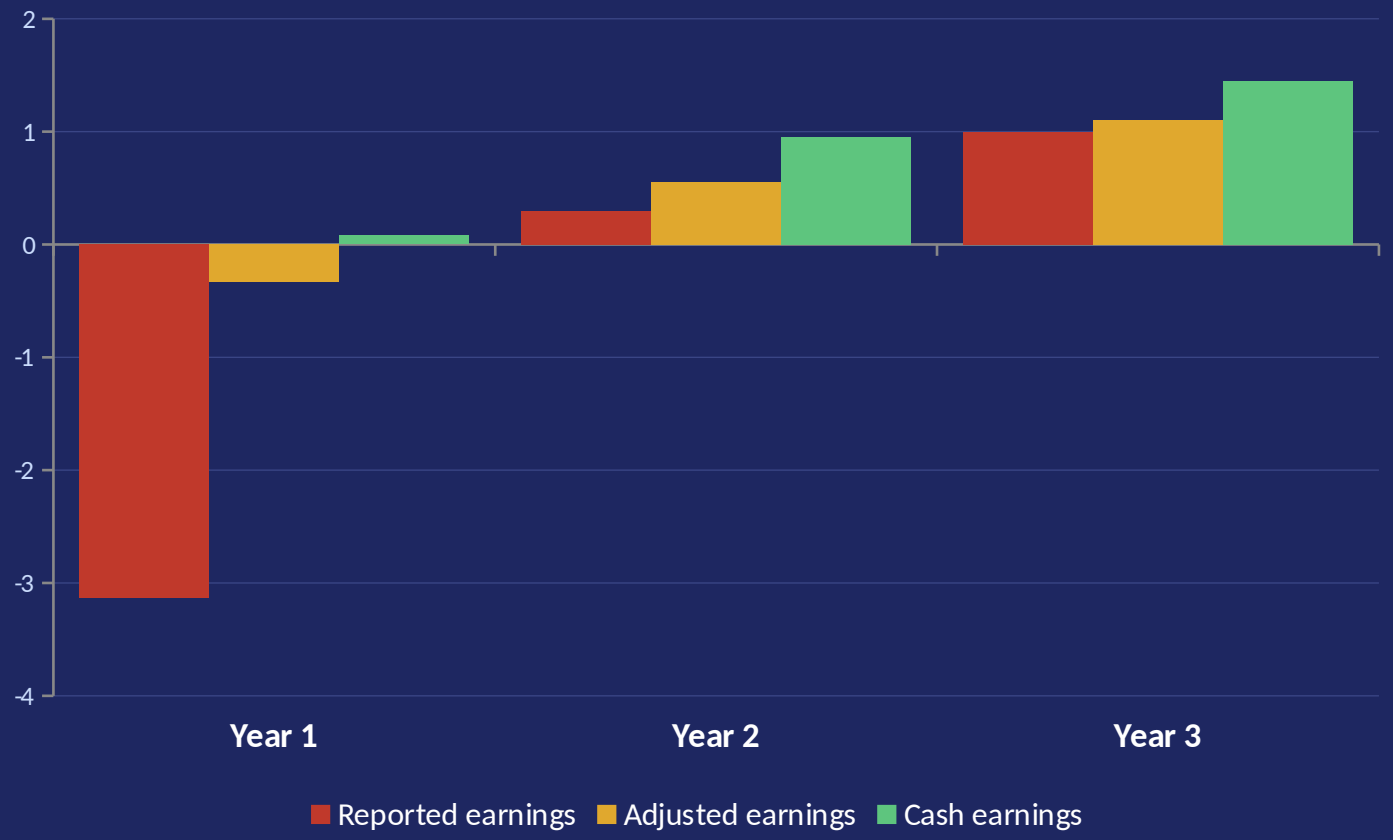
$350M
Total annual savings once fully in place (Year 3)

$400M
One-time cost to achieve, spread over three years

~4,000
Job reductions from a 38,000-person global workforce

The Earnings Question — Same Deal, Three Answers

Whether the merger “adds to earnings” depends entirely on which earnings measure you use.



Change in earnings per share vs. Stanley on its own ($)

Reading the chart

Year 1 reported earnings fall sharply

One-time merger costs, an inventory write-up, and deal expenses all land at once — about $3 lower per share.

Adjusting removes those one-time items

Strip out the costs that only occur once, and Year 1 is only mildly lower.

Cash earnings add back amortization

Removing a non-cash purchase charge makes the deal look positive almost immediately.

Reviewer’s view: the deal is dilutive in Year 1 and only adds to reported earnings from Year 2. The “$5.00” headline leans on the most flattering measure.

Value Created vs. Value Handed Over

The savings are worth more than the premium paid — but the reward carries the risk, and it sits with Stanley.

The value math

Savings, valued as a lasting stream
After tax, capitalised
+ $2.38B

Less one-time cost to achieve
Spent over three years
– $0.40B

Less premium paid to Black & Decker
The 21.6% premium, in dollars
– $0.64B

Net value for the combined company **+ $1.34B**

Who captures the value



Black & Decker holders

$0.64B — collected up front, and certain



Stanley holders

~$1.0B — larger, but only if the savings are fully delivered

The trade-off: Stanley swaps a certain $0.64B it funded for a larger but uncertain return. The deal looks good on paper; the risk is real.

Values use a 10% discount rate and a 32% tax rate as illustrative assumptions; the case supplies the savings and premium figures.

What the Case Teaches

1

A strategic fit, but a back-loaded one

Two complementary businesses combine, yet the merger reduces reported earnings in Year 1 and only pays off as the savings build through Year 3.

2

Read past the headline earnings number

“About $5.00 of earnings” relies on the most generous measure. On a reported basis the deal is dilutive first and accretive later.

3

The savings are worth more than the premium

Value is created for the combined company — but the premium is certain and paid today, while the savings are uncertain and earned over years.

4

Mind who sets — and is paid for — the target

Pairing the earnings case with the pay structure is the lesson: a forecast loses independence when its author is paid to hit it.